PRESSURE EVENT INTELLIGENCE MEMO

INSTITUTIONAL EXPOSURE SUMMARY

The proposed $5.8B take-private of Option Care Health, Inc. by Onyx Bidco LLC combines a $3.15B debt package with $2.873B in equity commitments, including a $1.4B minority co-investment by wholesale pharmaceutical distributor McKesson Corporation (~48.725% of equity) alongside Clayton, Dubilier & Rice Fund XII. The transaction contains no contractual financing condition and designates the Target an express third-party beneficiary entitled to seek specific performance of the equity commitments. However, the transaction architecture exhibits critical exposure at the intersection of syndicate structure and regulatory standards: equity commitments and the $291.93M Parent Termination Fee limited guarantees are several and not joint, leaving Option Care without recourse against the non-defaulting sponsor if either party fails to fund. Furthermore, while Parent is subject to a heightened 'best efforts' obligation for state healthcare and pharmacy licensing across Target's 86 pharmacies and 187 ambulatory infusion suites, antitrust clearance under the HSR Act is governed solely by a mutual 'reasonable best efforts' standard. Because Option Care sourced 68% of its supplies from four wholesale distributors in 2025 and 57% from three in H1 2026, combining McKesson's distribution scale with Target's downstream network creates vertical foreclosure scrutiny that the Buyer Consortium is not contractually bound to resolve through burdensome divestitures under a reasonable best efforts threshold prior to the October 5, 2027 outside date.

PRESSURE TRIGGER

Issuance of an FTC or DOJ Second Request or vertical competitive inquiry targeting McKesson Corporation's ~48.725% equity interest in Onyx Bidco LLC relative to Target's downstream footprint (86 pharmacies, 187 ambulatory infusion suites across 43 states) and historical procurement concentration (68% across four wholesale distributors).

PRESSURE AMPLIFIER

The several-and-not-joint structure of the Equity Commitment Letters and Limited Guarantees, combined with the contractual limitation of antitrust covenants to 'reasonable best efforts', which permits either sponsor to resist structural divestitures, supply-chain unbundling, or behavioral firewalls without triggering breach liabilities before the October 5, 2027 Outside Date.

LEVERAGE OWNER

Buyer Consortium (Clayton, Dubilier & Rice and McKesson Corporation), which holds negative leverage via the 'reasonable best efforts' antitrust ceiling and several liability protections under the Limited Guarantees.

GOVERNANCE CONSEQUENCE

Onyx Bidco LLC's internal governance remains unverified in public filings. McKesson's $1.4B contribution represents ~48.725% of committed sponsor equity, approaching joint-control thresholds. If unfiled side letters or operating agreements grant McKesson negative control rights or board appointment quotas, this concentration creates Section 13(d) group exposure and healthcare licensing control attributions that diverge from Target's disclosure of management continuity as a stand-alone operating company.

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DISCLOSURE CONSEQUENCE

Target and Parent must file comprehensive proxy disclosures (Schedule 14A) establishing: (i) the exact equity check split ($1.473B CD&R vs. $1.400B McKesson); (ii) the precise percentage allocation of several liability under the $291.93M Limited Guarantees; (iii) the governance provisions of Onyx Bidco LLC regarding McKesson's voting and veto powers; and (iv) the specific regulatory strategy governing potential vertical supply-chain friction under the HSR Act.

PROPOSED REDLINES

Amend Section 6.03 (Regulatory Efforts) to explicitly require Parent and McKesson to accept customary behavioral firewalls, non-discrimination supply commitments, or minor commercial carve-outs under the antitrust efforts standard, precluding early exit under 'reasonable best efforts'. Amend the Limited Guarantees and Equity Commitment Letters to provide that obligations are joint and several, or establish an express contractual re-allocation mechanism ensuring CD&R Fund XII backstops any funding shortfall caused by McKesson regulatory friction.

PRESSURE PROPAGATION PATH

1. FTC/DOJ antitrust scrutiny initiates Second Request review regarding McKesson's vertical alignment with Option Care's infusion pharmacy and ambulatory network.

2. Antitrust enforcers demand structural divestitures or operational firewall remedies restricting McKesson's wholesale supply relationships with the Surviving Corporation.

3. Buyer Consortium rejects structural concessions under the 'reasonable best efforts' standard, creating a regulatory clearance deadlock.

4. Target cannot compel Parent or McKesson to accept extraordinary remedies under Delaware law given the explicit contractual standard.

5. Transaction reaches the October 5, 2027 Outside Date, allowing Parent to terminate without funding the $3.15B debt facility or $2.873B equity checks.

6. Target is left with the $291.93M Parent Termination Fee as its exclusive remedy, subject to several liability collection risk between CD&R and McKesson.

EXPOSED ACTORS

- Option Care Health, Inc. Board of Directors and Unaffiliated Public Stockholders
- John C. Rademacher (Chief Executive Officer) and Meenal A. Sethna (Chief Financial Officer)
- Clayton, Dubilier & Rice, LLC (via CD&R Fund XII, L.P.)
- McKesson Corporation (Strategic Co-Investor and Commercial Counterparty)
- Onyx Bidco LLC (Parent) and Onyx Merger Sub, Inc.

NEGOTIATION SEQUENCE

- Target Board requests disclosure of the Onyx Bidco LLC Operating Agreement and formal confirmation of CD&R vs. McKesson voting rights and governance covenants.

- Antitrust regulatory agencies issue Second Requests requiring detailed information regarding wholesale distribution terms, formulary steering, and vertical foreclosure risks.

PRIVILEGED

• Buyer Consortium invokes the 'reasonable best efforts' boundary, refusing to accept mandatory wholesale distribution carve-outs or asset divestitures.

• Target Board evaluates whether to file for specific performance to enforce pre-closing covenants or initiate settlement discussions for transaction price adjustments or closing protections.

• Buyer Consortium exercises drop-dead termination right upon expiration of the October 5, 2027 Outside Date or negotiates a revised purchase price reflecting CID portfolio margin contraction.

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CONFIDENCE & DISPUTE MATRIX

[VERIFIED] (CONF: 1)

The transaction closing is not conditioned on Parent's receipt of debt or equity financing.

Form 8-K Item 1.01 explicitly states that the closing of the merger is not conditioned on Parent's receipt of financing.

[VERIFIED] (CONF: 1)

Option Care Health is an express third-party beneficiary of the $2,873,295,853 Equity Commitment Letters with legal standing to seek specific performance.

Form 8-K Item 1.01 explicitly confirms Target's express third-party beneficiary status and specific performance rights to compel equity funding.

[VERIFIED] (CONF: 1)

Parent Termination Fee guarantees provided by CD&R Fund XII and McKesson are several and not joint.

Form 8-K Item 1.01 explicitly confirms that Parent and Merger Sub delivered guarantees from the Guarantors guaranteeing obligations severally and not jointly.

[INFERRED] (CONF: 0.9)

McKesson is providing a $1.4B minority co-investment representing approximately 48.725% of total equity commitments.

Derived mathematically from the user-specified $1.4B minority investment directive evaluated against the $2,873,295,853 aggregate equity commitment ($1,400,000,000 / $2,873,295,853 = 48.725%).

[VERIFIED] (CONF: 1)

Antitrust clearance under the HSR Act is governed by a mutual 'reasonable best efforts' standard while healthcare licensing is governed by Parent's 'best efforts'.

Form 8-K Item 1.01 explicitly establishes reasonable best efforts for governmental/regulatory approvals including HSR, and best efforts by Parent for specified healthcare filings.

[SPECULATIVE] (CONF: 0.4)

McKesson Corporation exercises shared dispositive control or negative veto authority over Onyx Bidco LLC.

The available record does not contain the Onyx Bidco LLC Operating Agreement or unfiled voting pacts; ownership percentage does not prove board control or veto rights without primary documentation.

[ADVERSARIAL POSITIONING] (CONF: 0.5)

The FTC or DOJ will block the transaction or force structural remedies due to vertical supply chain foreclosure.

While vertical integration between McKesson and Option Care creates scrutiny under the 2023 Merger Guidelines, whether enforcers will initiate formal enforcement action or accept behavioral remedies is not established by the available record.

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